Notes: Calomiris, Fisman, and Wang (JFE, 2010)

Profiting from Government Stakes in a Command Economy: Evidence from Chinese Asset Sales

Contents

1 Big picture

- **Question.** Does privatization raise firm value in China, or can continued government ownership actually be valuable because it preserves political connections?
- **Why this is interesting.** Most privatization papers study settings where asset sales come together with broader market liberalization. China in 2001 is different: the state was considering selling its remaining stakes while retaining substantial political control over the economy.
- **Core trade-off.** Government ownership can hurt firms through inefficiency, political interference, and weak governance. But it can also help firms through access, protection, licenses, tax favors, and local policy support.
- **Research design.** The paper studies two sharp policy surprises:
  - **Event 1:** July 24, 2001 announcement that state-owned shares would be sold.
  - **Event 2:** June 23, 2002 cancellation of that plan.
- **Key empirical move.** The authors use **B-share returns**, not A-share returns. Because B shares trade in a segmented market and are not directly diluted by new tradable A shares, B-share prices provide a cleaner measure of how the market values government ties.
- **Main result.** Firms with more government ownership experience *more negative* abnormal returns when privatization becomes likely, and *more positive* abnormal returns when privatization is cancelled.
- **Interpretation.** In this Chinese setting, the market viewed government ownership as a net source of valuable connections rather than just a source of inefficiency. The helping hand of the state appears to dominate the grabbing-hand cost, at least from shareholders' perspective.
- **Substitution result.** Firms run by managers with prior city-government experience react more positively to the selloff announcement and more negatively to the cancellation announcement. Personal political ties can substitute for formal ownership-based ties.
- **Mechanism result.** The value of state ownership is strongest in **Special Economic Zones (SEZs)**, where local governments have more discretion. This points to discretionary local policy as an important channel.
- **Why the paper matters.** It shows that privatization is not universally value-increasing. The effect depends on the surrounding political institutions.
- **Important caveat.** The paper measures *shareholder-value effects*, not social welfare. Privatization could still improve overall welfare even if it lowers profits of politically connected listed firms.

2 Data and measurement (key objects)

2.1 Institutional setting: Chinese partial privatization

China's reform process relied heavily on *share issue privatizations* (SIPs). State-owned enterprises were partially listed, but the state retained large non-tradable stakes.

The paper emphasizes that this is not a standard privatization setting. The proposed 2001 sale of government shares was *not* bundled with a broad political transition or a sweeping withdrawal of the state from economic life. That is the key background fact for interpreting the event-study results.

Interpretation. The paper is not asking whether private ownership is efficient in the abstract. It is asking whether, in an authoritarian and interventionist environment, losing government ownership also means losing valuable political protection.

2.2 Share classes and why B shares are crucial

Public Chinese firms had four relevant share categories:

- **State shares:** non-tradable shares held by the government.
- **Legal-person shares:** largely held by institutions, many of them state-related or politically connected.
- **Tradable A shares:** held mainly by domestic investors.
- **Tradable B shares:** held mainly by foreign investors and traded in a separate market.

The identification strategy rests on the segmentation between A and B shares. The authors document very large and persistent B-share discounts relative to A shares and show that A- and B-share comovement is limited. That makes it hard to argue that B-share prices simply reflect expected dilution from future sales of non-tradable A shares.

Interpretation. Using B shares is the paper's most important design choice. It lets the authors interpret price reactions as changes in expected future profitability from government ties rather than as mechanical supply effects in the domestic A-share market.

2.3 The two policy events

Event 1: July 24, 2001. Four listed firms announced that their government-owned shares would be sold in the A-share market. Investors interpreted this as a credible revelation of the government's broader plan to sell state-owned stakes.

Event 2: June 23, 2002. The government unexpectedly cancelled the plan.

The paper does *not* use the vague June 14, 2001 State Council statement as a main event because it was ambiguous and produced little market reaction.

Interpretation. The two events are nearly mirror images of one another. That symmetry is very useful: if a variable predicts returns with one sign in Event 1 and the opposite sign in Event 2, it is hard to explain the pattern as mere coincidence.

2.4 Sample and data sources

The main sample contains **107 Chinese listed B-share firms**. The paper combines several sources:

- adjusted stock prices from **Datastream**,

- market-index and ownership data from **CSMAR**,
- accounting data from **Resset**,
- management biographies collected manually from **Sina Finance**,
- export information from the **China Trade Database**.

The main outcome is the three-day cumulative abnormal return over the window $[-1, 1]$ around each event.

2.5 Key ownership and political-connection variables

- `Govt_share`: fraction of shares held by the state and state legal persons.
- `LP_share`: fraction of shares held by private legal-person entities.
- `Political_connection`: indicator for whether at least one senior manager had been a mayor or vice-mayor of the city where the firm is located.

The political-connection variable is deliberately narrow: it focuses on direct city-level bureaucratic experience because city governments have meaningful discretion over local policy.

Interpretation. Government ownership captures *institutional* ties to the state. The management variable captures *personal* ties. The paper's idea is that these two forms of connection may substitute for one another.

2.6 Channel variables

To study mechanisms, the paper adds four groups of covariates:

- **SEZ indicator:** whether the firm is located in a Special Economic Zone.
- **Export intensity:** exports divided by sales.
- **Leverage:** long-term bank borrowing divided by assets.
- **Labor-burden variables:** a welfare-spending rate and a pension burden measure.

Interpretation. These variables are designed to distinguish among possible channels of political favoritism: local discretionary policy, privileged lending, and the social obligations attached to state ownership.

2.7 Summary statistics that matter

Table 1 shows several important facts.

- Mean government ownership is about **34%** in both events.
- Mean legal-person ownership is about **12%**.
- Politically connected managers are relatively rare, around **10–12%** of firms.
- Mean abnormal return is about -12.24% around Event 1 and $+12.11\%$ around Event 2.

Interpretation. Even before running regressions, the summary table already suggests that the market viewed the selloff as bad news and the cancellation as good news for this B-share sample.

3 Models and empirical specifications (all equations and interpretation)

3.1 Market model and abnormal returns

The paper uses a standard market model to compute firm-level abnormal returns:

$$\mathrm{AR}_{it} = R_{it} - \left(\hat{\alpha}_i + \hat{\beta}_i R_{mt}\right), \tag{1}$$

where R_{it} is the B-share return of firm i and R_{mt} is the Chinese stock-market index.

The main event-study outcome is

$$\mathrm{CAR}_i[-1,1] = \sum_{\tau=-1}^{1} \mathrm{AR}_{i,t+\tau}. \tag{2}$$

Interpretation. The three-day window is important because Chinese daily price limits cap one-day movements at 10%, so a narrow same-day window would miss part of the reaction.

3.2 Baseline cross-sectional event regression

For compact notation, let *Govt* denote `Govt_share`, *LP* denote `LP_share`, and *PC* denote `Political_connection`. The main empirical specification is

$$\mathrm{CAR}_{ei}[-1,1] = \alpha + \beta_1\, Govt_{ei} + \beta_2\, LP_{ei} + \beta_3\, PC_{ei} + Controls_{ei} + \varepsilon_{ei}. \tag{3}$$

The control set includes size, profitability, valuation, and in some columns one-digit industry fixed effects:

- log(Sales),
- ROA,
- log(1 + Tobin's Q),
- industry dummies.

Interpretation. A negative β_1 in Event 1 means that firms with more state ownership fall more when privatization becomes likely. A positive β_1 in Event 2 means the same firms rise more when privatization is cancelled.

3.3 Pooled two-event specification

To combine the two events, the paper defines a pooled outcome that flips the sign of Event 2 returns:

$$\mathrm{CAR}^{pool}_{ei} = \begin{cases} \mathrm{CAR}_{ei}[-1,1], & \text{for Event 1,} \\ -\mathrm{CAR}_{ei}[-1,1], & \text{for Event 2.} \end{cases} \tag{4}$$

The pooled regression keeps the same ownership variables and adds an event dummy.

Interpretation. This is a clever way to test whether the same forces operate symmetrically across the announcement and its reversal.

3.4 Mechanism regressions

To study why government ownership matters, the paper augments the pooled regression with interaction terms. Writing $GLP_i = (Govt + LP)_i$ for the sum of the two ownership shares, a representative specification is

$$\mathrm{CAR}_{ei}^{pool} = \alpha + \beta\, GLP_i + \gamma\, PC_i + \delta\, SEZ_i + \theta_1\big(GLP_i \times SEZ_i\big) + \theta_2\big(PC_i \times SEZ_i\big) + \cdots + \varepsilon_{ei}. \quad (5)$$

Similar interaction blocks are added for export intensity, leverage, welfare spending, and pension burden.

Interpretation. The interaction terms ask a more refined question: not just *whether* government ownership matters, but *where* and *through which channel* it matters most.

3.5 Alternative specifications and robustness

The paper reruns the main regressions using:

- raw cumulative returns instead of abnormal returns,
- a shorter $[0, 1]$ event window,
- A-share returns,
- an A-share turnover control to test liquidity or supply-based explanations.

It also performs two placebo tests on unrelated large market moves and checks for information leakage using abnormal returns over the pre-event window $[-30, -2]$.

Interpretation. These tests are designed to show that the core coefficients are not just picking up generic risk exposure, illiquidity, or slow pre-announcement drift.

4 Identification and empirical credibility

4.1 Why the events are useful shocks

The authors argue that Chinese regulatory announcements are unusually well suited to event studies because they are often released without the lobbying, committee discussion, and public negotiation that create information leakage in democratic systems.

The evidence in the paper is consistent with that claim:

- the June 14, 2001 vague statement generated little response,
- the July 24, 2001 clarifying announcement triggered a large discrete price drop,

- the June 23, 2002 cancellation triggered a large discrete rebound,
- there is little evidence of abnormal pre-trends in the month before the events.

Interpretation. The design is not random assignment, but it is much cleaner than a typical reform setting where the market gradually learns policy intentions over time.

4.2 Why B-share prices identify connection effects rather than dilution

A major alternative explanation would be pure supply pressure: if state shares become tradable, domestic share supply rises and prices fall. The paper's B-share design is meant to avoid exactly that problem.

The logic is:

- the government planned to sell non-tradable **A shares**,
- B shares trade in a segmented market,
- the quantity of B shares outstanding is unchanged by the contemplated sale,
- turnover and liquidity measures do not explain B-share abnormal returns.

Interpretation. This is why the paper can interpret the negative coefficient on government ownership as a value-of-connections effect, not just a demand-curve effect.

4.3 Why the reversal event is powerful

The June 2002 cancellation event is especially persuasive because it reverses the policy and also reverses the sign of the ownership effects.

If the July 2001 result were driven by some omitted bad news specific to government-heavy firms, one would not naturally expect a symmetric positive response to the cancellation one year later.

Interpretation. The mirror-image event is one of the paper's strongest credibility features.

4.4 What the placebo tests show

The paper looks at two unrelated days with market moves above 4% between the two policy events. On those dates, government ownership does *not* predict cross-sectional returns.

It also studies abnormal returns over the pre-event window $[-30, -2]$ and finds no significant effect of government or legal-person ownership.

Interpretation. These placebo exercises reduce the concern that state ownership is just loading on a generic omitted risk factor.

4.5 Limits of the design

The paper is careful about what it does *not* identify perfectly.

- Government ownership is not randomly assigned, so cross-sectional endogeneity remains a concern.
- The event study identifies expected changes in **shareholder value**, not total welfare.
- The 2005 non-tradable-share reforms are not used for the main analysis because compensation negotiations for tradable shareholders would confound interpretation.

Interpretation. The paper's strength is clean short-run valuation evidence around surprise events. Its weakness is that it cannot fully solve deeper selection problems in who ended up state-connected in the first place.

5 Tables and figures

5.1 Table 1: Summary statistics

Read: Government ownership averages about 34%, legal-person ownership about 12%, and the mean three-day abnormal return is roughly -12.24% for Event 1 and $+12.11\%$ for Event 2.

Economic message. The sample is exactly the kind of setting where government ties could plausibly matter. The average event returns already tell us that the market, on net, disliked the 2001 privatization announcement and liked the 2002 cancellation.

5.2 Figure 1: Raw cross-sectional patterns

Read: Panel (a) shows that firms that fell more in Event 1 tended to rise more in Event 2. Panel (b) shows a negative relation between government-related ownership and Event 1 abnormal returns. Panel (c) shows the opposite relation for Event 2.

Economic message. Before adding controls, the figure already suggests the paper's core message: the market saw state ownership as valuable, so firms with more of it were hurt more by the prospect of divestment and helped more by the cancellation.

5.3 Table 2: Separate-event regressions

Read: In the richer Event 1 specification, the coefficient on $Govt\_share$ is about -0.061 and the coefficient on LP_share is about -0.077. In Event 2, the coefficients flip sign to about $+0.048$ and $+0.063$. The management political-connection variable is positive in Event 1 and negative in Event 2.

Economic message. This table is the paper's main reduced-form evidence. Government ownership lowers stock returns when privatization becomes credible and raises them when privatization is withdrawn. Personal political ties move in the opposite direction because they become more valuable when formal state ownership is about to disappear.

Table 1
Summary statistics.

This table gives summary statistics for 107 Chinese listed firms. Govt_share is the proportion of state shares and state legal-person shares, LP_share is the proportion of general legal-person shares which held by private firms. Political_connection is an indicator variable denoting that the firm has at least one senior officer who was ever a (vice) mayor of a city. SEZ is an indicator variable denoting that the firm is located in a Special Economic Zone. Export_intensity is the ratio of total export value to sales. Leverage is the ratio of long-term bank borrowing to assets. Welfare_rate is the ratio of Commonweal fund of the firm to sales in 2001. Pension_burden is the ratio of retired employees that are supported by the firm to its current employees in 2001. CR101 is the cumulative event return over the window of [−1, 1]. CAR101 is the cumulative abnormal event return over the window of [−1, 1]. CAR01 is the cumulative abnormal event return over the window of [0, 1]. On July 24, 2001 (Event 1) the Chinese government announced it would sell its stakes in publicly traded firms. The government retracted this policy on June 23, 2002 (Event 2).

Variable	Mean value	Standard deviation	Median value
SEZ	0.248	0.434	0
Welfare_rate	0.0044	0.0055	0.0026
Pension_burden	0.1457	0.3585	0.0016
Event 1: July 24, 2001			
Govt_share	0.341	0.249	0.377
Political_connection	0.119	0.326	0
LP_share	0.119	0.187	0.0004
ROA	0.116	0.208	0.112
Log(1+Tobin's Q)	1.269	.407	1.177
Leverage	.048	.082	.017
Log(Sales)	20.4	1.24	20.4
Export_intensity	0.041	0.146	0
CR101 (day −1 to day 1)	−10.49	3.66	−10.96
CAR101 (day −1 to day 1)	−12.24	3.79	−12.55
CAR01 (day 0 to day 1)	−9.43	3.33	−9.02
Event 2: June 23, 2002			
Govt_share	0.34	0.249	0.378
Political_connection	0.101	0.303	0
LP_share	0.119	0.187	0
ROA	0.124	0.34	0.099
Log(1+Tobin's Q)	1.320	.354	1.241
Leverage	.053	.083	.018
Log(Sales)	20.5	1.16	20.6
Export_intensity	0.054	0.182	0
CR101 (day −1 to day 1)	12.68	3.7	12.14
CAR101 (day −1 to day 1)	12.11	3.75	11.42
CAR01 (day 0 to day 1)	8.32	2.62	8.1

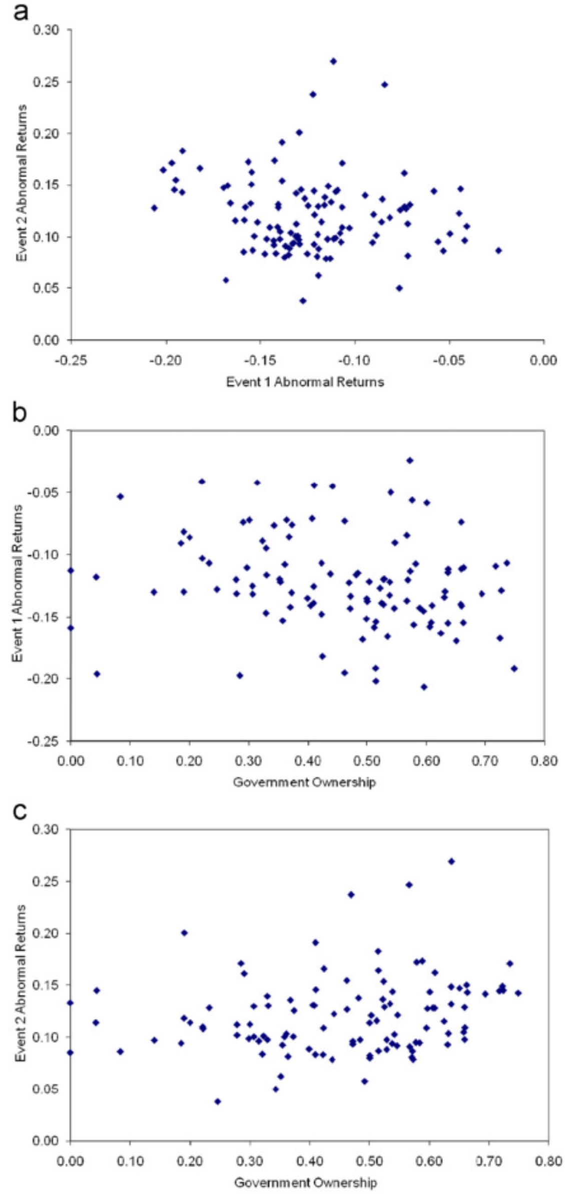

Fig. 1. (a) Scatterplot relating abnormal returns CAR[−1,1] for two events. Event 1 denotes the announcement on July 24, 2001 that the Chinese government would sell its stakes in publicly traded firms. Event 2 denotes the retraction of this policy on June 23, 2002. See text for further details. (b) Scatterplot relating Govt_share+LP_share to CAR[−1,1] around the government announcement on July 24, 2001 that state-owned shares would be sold (Event 1) in China. Govt_share is the proportion of shares held by the state and state legal persons and LP_share is the proportion of shares held by private firms registered as legal persons. (c) Scatterplot relating Govt_share+LP_share to CAR[−1,1] around the government's cancellation on June 23, 2002 of announced state share sales (Event 2) in China. Govt_share is the proportion of shares held by the state and state legal persons and LP_share is the proportion of shares held by private firms registered as legal persons.

Table 2
Regresions of abnormal event returns on state-owned shares.
The dependent variable in all specifications is CAR101, the cumulative abnormal even+return over the window [−1,1]. Event 1 denotes the announcement on July 24, 2001 that the Chinese government would sell its stakes in publicly traded firms. Event 2 denotes the retraction of this policy on June 23, 2002. Govt_share is the proportion of shares held by the state and state legal persons, LP_share is the proportion of shares held by private firms registered as legal persons. Political_connection is an indicator variable denoting that the firm has at least one senior officer who was ever a mayor or vice mayor of a city. ROA is the net return on total assets in the past year. Tobin's Q is the ratio of market value over book value of the firm. Robust standard errors are in parentheses. *significant at 10%; **significant at 5%; ***significant at 1%

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Govt_share (%)	−0.044*		−0.052*	−0.061**	0.046**		0.037*	0.048**
	(0.023)		(0.026)	(0.025)	(0.019)		(0.020)	(0.021)
LP_share (%)	−0.050		−0.055	−0.077**	0.060**		0.044	0.063**
	(0.036)		(0.038)	(0.035)	(0.029)		(0.028)	(0.028)
Political_connection		0.015	0.014	0.013		−0.015**	−0.017*	−0.016*
		(0.010)	(0.011)	(0.011)		(0.007)	(0.009)	(0.009)
Log(Sales)			0.006*	0.011***			−0.008**	−0.013***
			(0.004)	(0.004)			(0.004)	(0.005)
ROA				−0.057				−0.021
				(0.100)				(0.019)
log(1+Tobin's Q))				0.034***				−0.028**
				(0.011)				(0.013)
Event	1	1	1	1	2	2	2	2
Industry fixed effects	No	No	Yes	Yes	No	No	Yes	Yes
Observations	107	107	107	107	107	107	107	107
R-squared	0.04	0.02	0.21	0.31	0.05	0.02	0.19	0.22

Table 3
Regression of abnormal event returns (pooled).
CAR101_pool is equal to CAR101 for Event 1 and equal to −1∗CAR101 for Event 2; CR101_pool and CAR01_pool are similarly defined. See the text for further details. Govt_share is the proportion of shares held by the state and state legal persons, LP_share is the proportion of shares held by private firms registered as legal persons. Political_connection is an indicator variable denoting that the firm has at least one senior officer who was ever a mayor or vice mayor of a city. ROA is the net return on total assets in the past year. Tobin's Q is the ratio of market value over book value of the firm. I(0.25 < Govt_share ≤ 0.5) is an indicator variable denoting that 0.25 < Govt_share ≤ 0.5. I(Govt_share > 0.5) is an indicator variable denoting that Govt_share > 0.5. Turnover is the turnover of the firm's corresponding A-share in the past year before Event 1. Robust standard errors are in parentheses, disturbance terms clustered by firm. *significant at 10%; **significant at 5%; ***significant at 1%

	(1)	(2)	(3)	(4)	(5)
Govt_share (%)	−0.055***	−0.053***	−0.031**		−0.072***
	(0.017)	(0.017)	(0.016)		(0.021)
LP_share (%)	−0.074***	−0.072***	−0.046**	−0.063**	−0.073**
	(0.026)	(0.025)	(0.022)	(0.024)	(0.028)
Political_connection	0.014*	0.014**	0.012**	0.015*	0.013*
	(0.007)	(0.007)	(0.006)	(0.008)	(0.007)
Log(Sales)	0.012***	0.011***	0.010***	0.012***	0.012***
	(0.003)	(0.003)	(0.002)	(0.003)	(0.004)
log(1+Tobin's Q))	0.035***	0.034***	0.026***	0.033***	0.028*
	(0.009)	(0.009)	(0.007)	(0.009)	(0.014)
ROA	0.021	0.022	0.005	0.021	0.026
	(0.015)	(0.014)	(0.012)	(0.016)	(0.016)
Event dummy	−0.000	−0.023***	0.009**	−0.000	−0.003
	(0.005)	(0.005)	(0.004)	(0.005)	(0.006)
I(0.25 < Govt_share ≤ 0.5)				−0.017*	
				(0.009)	
I(Govt_share > 0.5)				−0.028***	
				(0.009)	
Turnover					0.251
					(0.385)
Dependent variable	CAR101_pool	CR101_pool	CAR01_pool	CAR101_pool	CAR101_pool
Industry fixed effects	Yes	Yes	Yes	Yes	Yes
Observations	214	214	214	214	164
R-squared	0.22	0.28	0.24	0.22	0.18

Table 4
Identifying the mechanism of beneficial government ownership.
Notes: CAR101_pool is the dependent variable in all regressions, and is equal to CAR101 in event 1 and equal to −1* CAR101 in event 2. CAR101, the cumulative abnormal even return over the window [−1,1]. Govt_share is the proportion of shares held by the state and state legal persons, LP_share is the proportion of shares held by private firms registered as legal persons. Political_connection is an indicator variable denoting that the firm has at least one senior officer who was ever a (vice) mayor of a city. SEZ is an indicator variable denoting that the firm is located in a Special Economy Zone. Export_intensity is the ratio of total export value to sales. Leverage is the ratio of long-term banking borrowings to assets. Welfare_rate is the ratio of the firm's commonweal fund to sales. Pension_burden is the ratio of retired employees that are supported by the firm to its current employees. All specifications include controls for log(Sales), Tobin's Q, ROA and event dummy (not reported to saving space). Robust standard errors are in parentheses, disturbance terms clustered by firm. *significant at 10%; **significant at 5%; ***significant at 1%

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Govt_share+LP_share (%)	−0.053***	−0.063***	−0.044**	−.048**	−0.044**	−0.069***	−0.051***	−.036
	(0.017)	(0.018)	(0.022)	(0.023)	(0.019)	(0.020)	(0.017)	(.037)
Political_connection (PC)	0.014**	0.010	0.010	0.0132*	0.009	0.021*	0.021**	.027
	(0.007)	(0.007)	(0.008)	(0.007)	(0.010)	(0.011)	(0.009)	(.020)
SEZ		−0.019***	0.009	0.013				.020
		(0.006)	(0.017)	(0.014)				(.017)
(Govt_share+LP_share)∗SEZ			−0.069**	−.079***				−.089***
			(0.034)	(0.030)				(.034)
Political_connection∗SEZ			0.045***	0.046***				.040**
			(0.014)	(0.013)				(.018)
Export_intensity				−0.216				−.198
				(0.163)				(.170)
(Govt_share+LP_share) ∗Export_intensity				0.203				.266
				(0.398)				(.486)
Political_connection ∗Export_intensity				−1.286***				−1.164***
				(0.489)				(.421)
Leverage					0.037			.049
					(0.049)			(.053)
(Govt_share+LP_share)∗Leverage					−0.131			−.167
					(0.125)			(.129)
Political_connection∗Leverage					0.055			.021
					(0.057)			(.071)
Welfare_rate						−0.650		.175
						(1.253)		(1.520)
(Govt_share+LP_share)∗Welfare_rate						3.083		1.392
						(2.478)		(2.956)
Political_connection∗Welfare_rate						−1.279		−1.695
						(1.383)		(1.369)
Pension_burden							0.039	.037
							(0.025)	(.025)
(Govt_share+LP_share)∗Pension_burden							−0.057	−.063
							(0.047)	(.048)
Political_connection∗Pension_burden							−0.072***	−.064
							(0.027)	(.035)
Industry effect	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	214	214	214	214	214	214	214	214
R-squared	0.22	0.25	0.27	0.28	0.22	0.23	0.23	0.31

5.4 Table 3: Pooled regressions

Read: In the baseline pooled column, $Govt\_share$ enters at about -0.055^{***}, LP_share at about -0.074^{***}, and $Political\_connection$ at about $+0.014^{*}$. These patterns are similar with raw returns and with the shorter $[0, 1]$ window. The A-share turnover control is insignificant.

Economic message. Pooling the events sharpens the inference. The insignificant turnover result is especially important because it weakens the view that the estimates are driven by liquidity or expected supply changes rather than by the value of political ties.

5.5 Table 4: Mechanism evidence

Read: The strongest result is the interaction with SEZ status: $(Govt\_share + LP\_share) \times SEZ$ is around -0.069 in the SEZ-interaction specification, while $Political\_connection \times SEZ$ is around $+0.045$. Export-intensity controls do not eliminate this. Leverage interactions are weak. Welfare and pension interactions are more mixed.

Economic message. The most convincing mechanism in the paper is discretionary local government policy. State ties matter more where local officials have more room to help favored firms. By contrast, the data offer weaker support for privileged lending as the main channel in this sample.

6 Short summary

- The paper studies two surprise Chinese policy announcements about selling state-owned shares.
- It uses B-share returns to isolate the value of government ties from simple share-supply effects.
- Higher government ownership predicts more negative returns when privatization is announced.
- The same firms experience more positive returns when the policy is cancelled.
- Politically connected managers partly substitute for formal state ownership.
- The ownership effect is stronger in Special Economic Zones, pointing to local policy discretion as a mechanism.
- Liquidity, generic market movements, and pre-event leakage do not explain the results well.
- The paper's main message is that privatization without broader political liberalization may reduce firm value because firms lose profitable state connections.

7 Conclusion

This paper makes a simple but powerful point: whether privatization raises firm value depends on the institutional environment. In a setting like China circa 2001, where the state still exercised broad discretionary control over economic activity, formal government ownership could be valuable because it preserved access, protection, and influence.

The event-study evidence strongly supports that interpretation. The market penalized firms with larger government stakes when a selloff became credible and rewarded them when the selloff was cancelled. The mirror-image reaction across the two events, together with the use of B-share prices, is what gives the paper its force.

The broader lesson is not that state ownership is socially desirable. Rather, it is that the benefits of privatization for listed-firm shareholders cannot be evaluated in isolation from politics, enforcement, and local government behavior. Where markets remain politically mediated, government ownership may carry a private value that standard privatization arguments understate.